

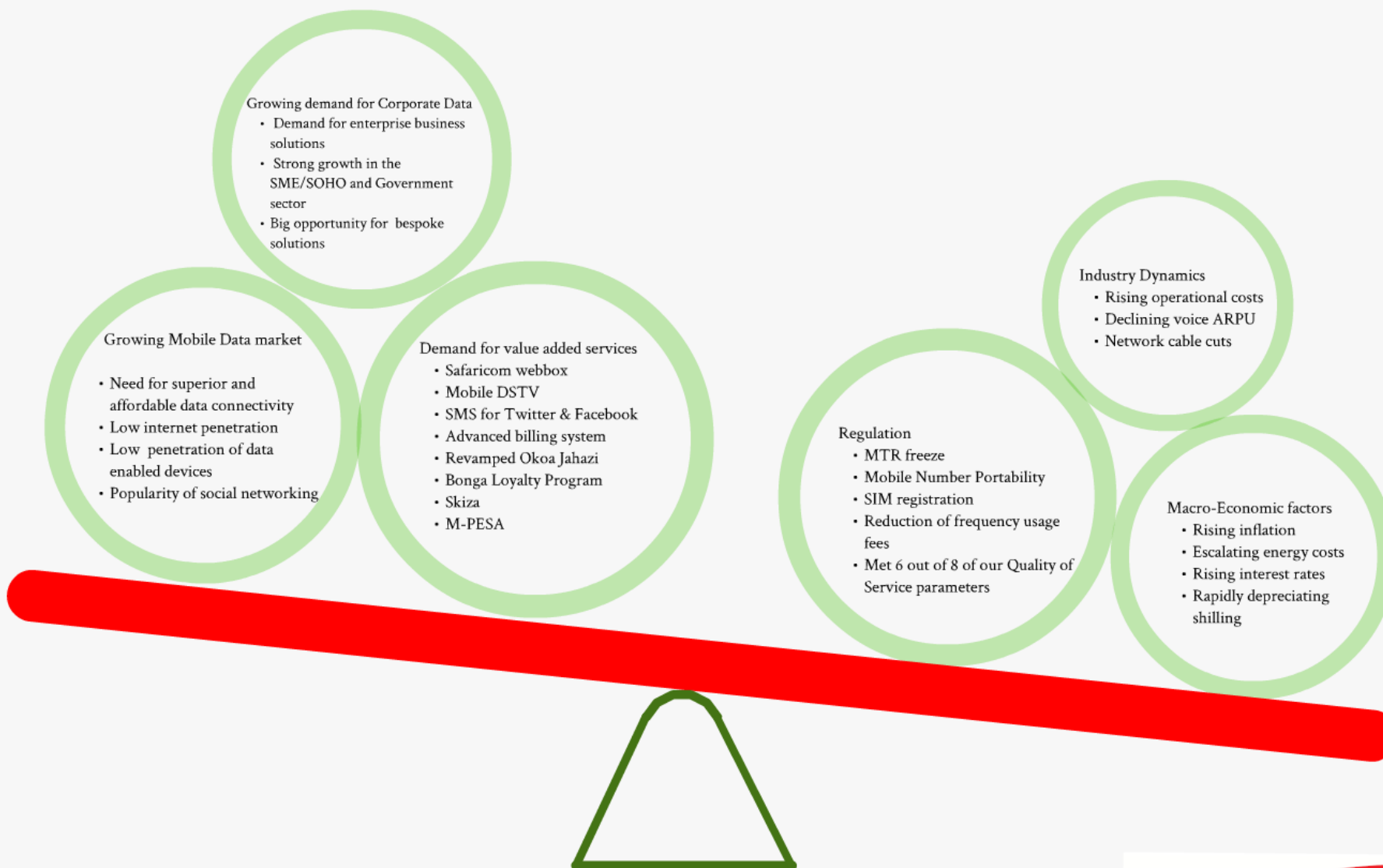


Half-Year Results Presentation

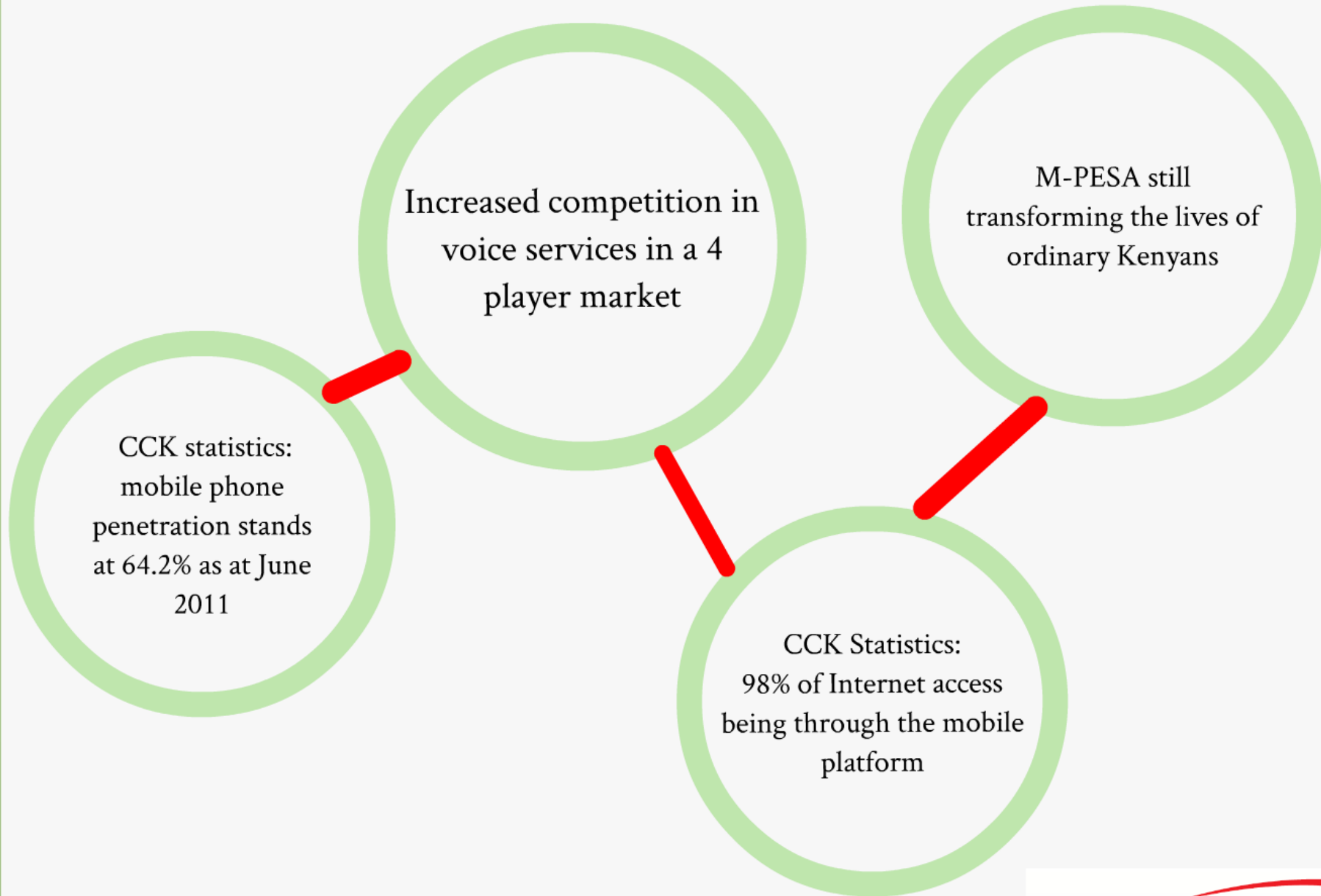
9th November, 2011



OPERATING MARKET CONDITIONS



MARKET DYNAMICS



THE RIGHT STRATEGY

1. Revenue Growth

- Provision of integrated communication solutions to our various customer segments



2. Reduce reliance on Voice

- Expand our other revenue channels, with focus on Data and M-PESA

3. Sustained Investment

- Invest in our network to ensure that we offer cutting-edge technology and reliable connectivity

4. Maintain market leadership

- Grow the brand, customer focus, continued innovation and value addition

STRATEGY EXECUTION

8.0 % growth in Customers



18.1 million customers

5.3% growth in Revenues



Kshs. 49.6 Billion

5.5% decline in Voice Revenues



Kshs. 31.5 Billion

30.4 % growth in Data Revenues



Kshs. 14.6 Billion

49.3% growth in M-PESA Revenues



Kshs. 7.9 Billion

36.3% growth in Broadband Revenues



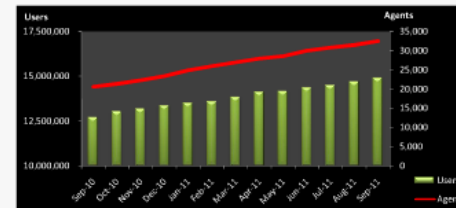
Kshs. 3.1 Billion

M-PESA: Superior Results



Product penetration

- 82.4% of our customer base
- 9.8% growth in customer base to 14.9 million
- Over 32,000 agents



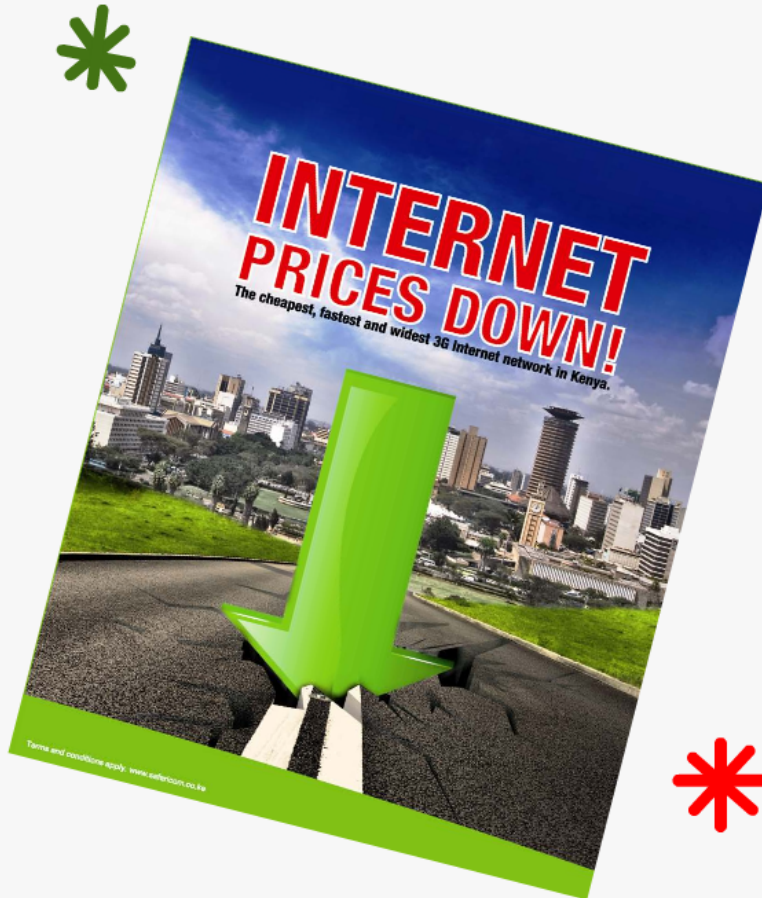
Product evolution

- Expanding portfolio with a more financial outlook
- M-PESA is positioned to expand its usability further both at individual and corporate levels.

Revenue generation

- M-PESA revenue up by 49.3% to Kshs.7.9 bn
- Kshs. 314 bn (\$3.15 bn) worth of transactions moved between April-September 2011

DATA: Right on Target



'Leading the pack'

- 43% growth in data customers to 5.1 million users
- Mobile and fixed broadband revenue up by 36.3% to Kshs.3.1bn
- 92% of Kenya's internet subscriptions are on Safaricom connected mobile devices (CCK June Statistics)

'Offering the best'

- 52% of our network coverage is now 3G active
- Offering mobile data speeds of 21 Mbps and trials for 42 Mbps are in progress
- Affordable mobile data prices

Enterprise Business



Technology Partner
EMC²
Worldwide Solutions Partner
SEVENSEAS
Safaricom Limited
To find out more about our
Cloud Computing solutions, please
e-mail us on: cloud@safaricom.co.ke
Terms and conditions apply. www.safaricom.co.ke

Safaricom
Business

- Fixed data connections up by 92% to 6,177 (3,223 in Sept. 2010)
- Wide product range
- Investing in technology and partnerships in the public and private sectors
- Focus on Health and Education



SafaricomCLOUD is the largest indigenous cloud offering local & secure managed services for any size of enterprise



Forging ahead on Data and M-PESA

Continuously invest in our network to ensure that we offer the most advanced technology and reliable connectivity

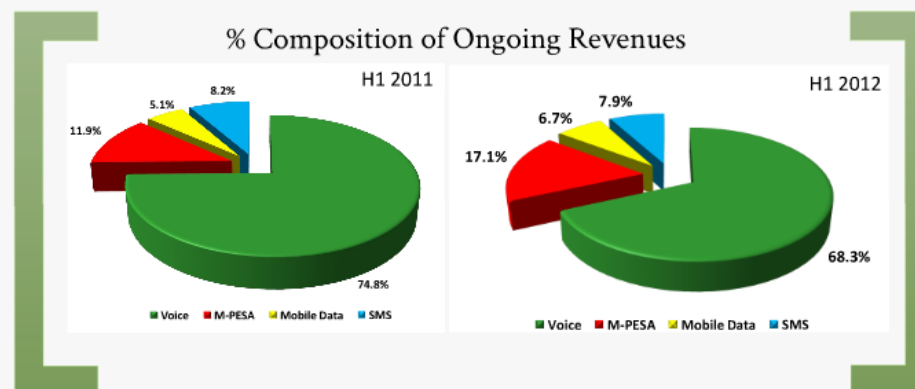
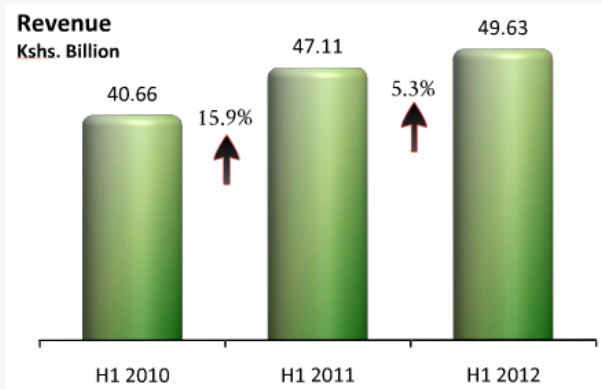


Continue on M-PESA's transformation into a fully fledged financial tool

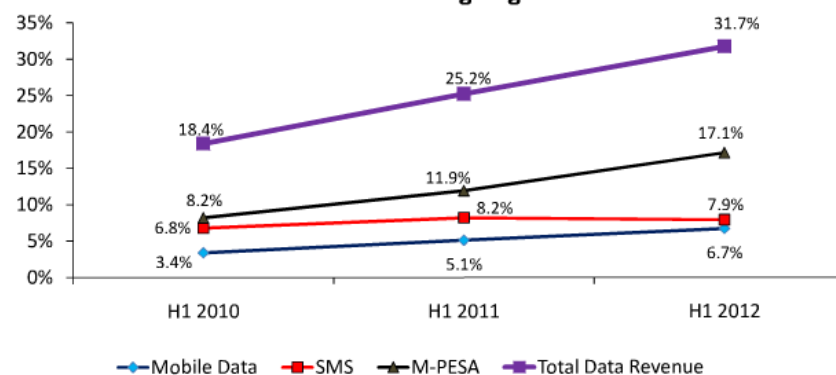
Further expand our distribution network and make available affordable data enabled devices to achieve our Data-for-All objective

First mover advantage: Offering the very latest and innovative products and services

FINANCIAL OVERVIEW: REVENUES



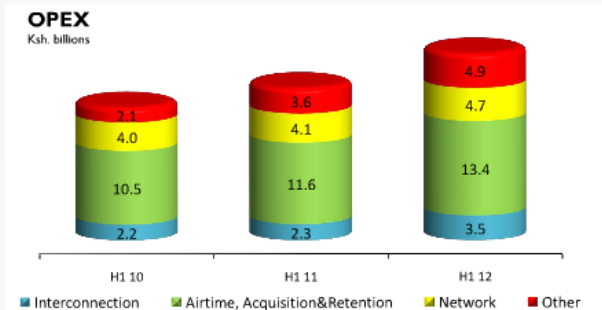
Mobile Data/SMS/M-PESA Contribution to Ongoing Revenue



FINANCIAL OVERVIEW: COSTS

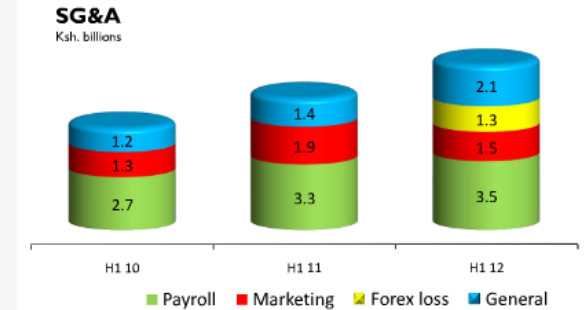
OPEX has increased by 23%

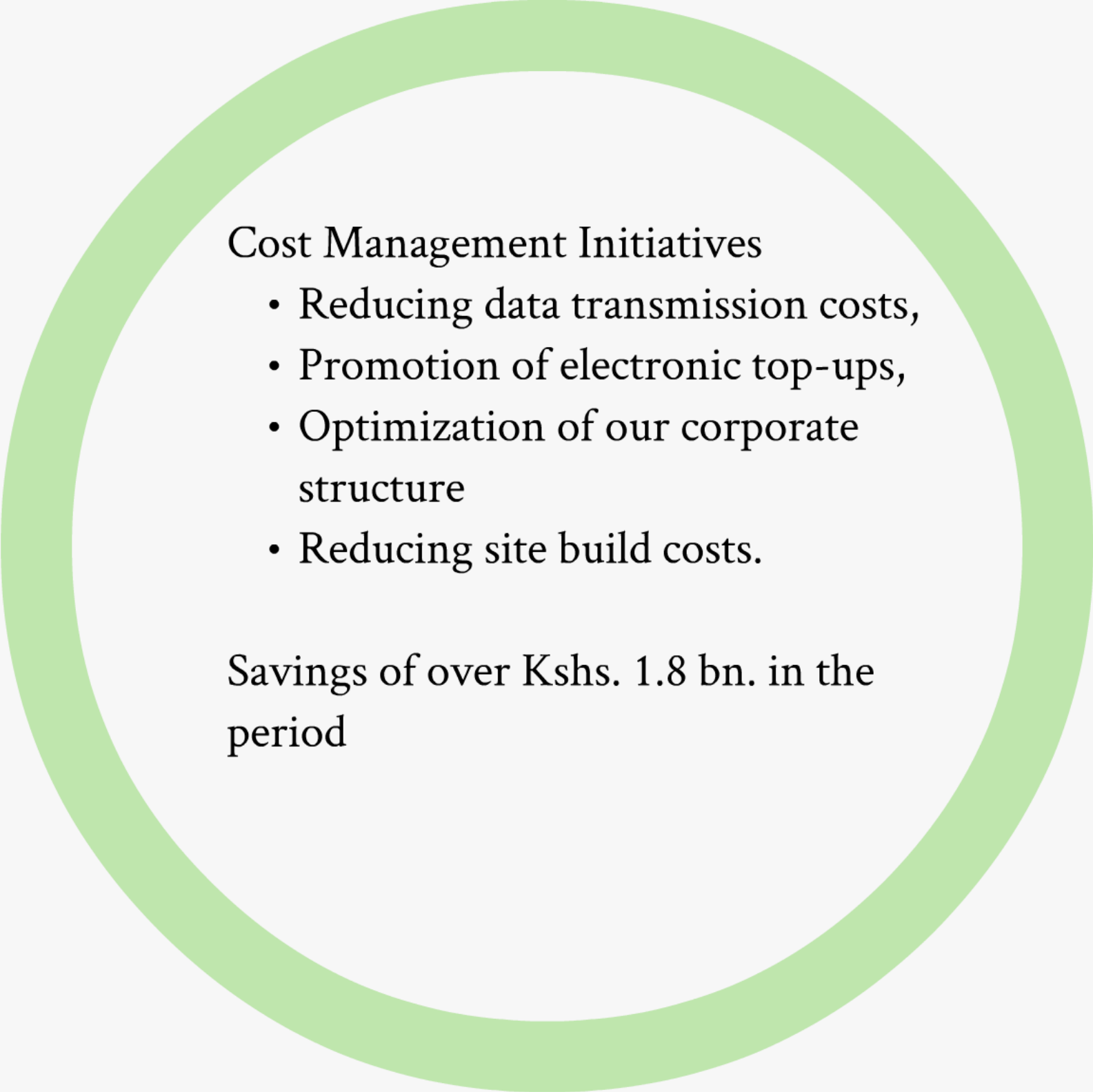
- Growth in interconnect costs;
- CCK License fees
- Increase in licence fees as a result of our continued network expansion
- 0.5% universal licence fees on revenue
- Rising energy costs



SG&A has increased by 26%

- Driven by a net forex loss of Ksh. 1.3 bn
- Increased Payroll and personnel costs by 6%
- Increase in General and administrative costs
- Decreased Marketing costs by 24%



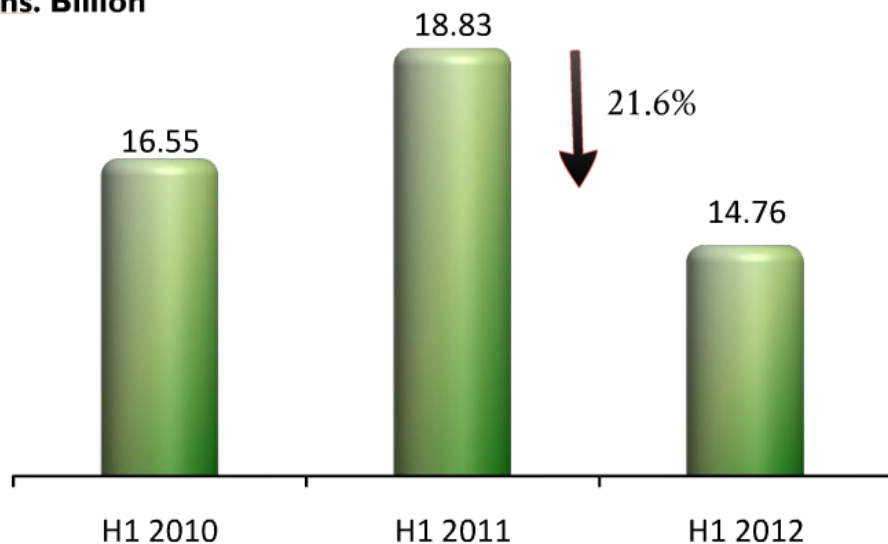


Cost Management Initiatives

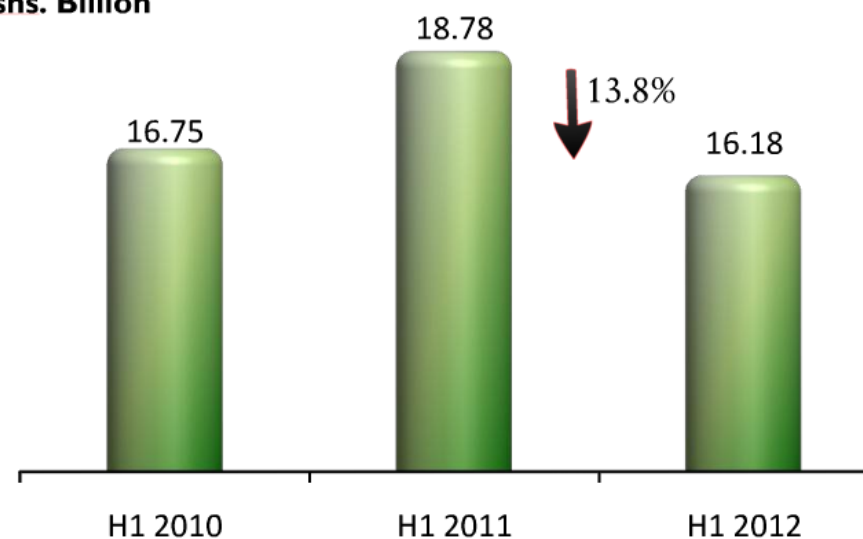
- Reducing data transmission costs,
- Promotion of electronic top-ups,
- Optimization of our corporate structure
- Reducing site build costs.

Savings of over Kshs. 1.8 bn. in the period

EBITDA
Kshs. Billion



EBITDA excluding Forex
Kshs. Billion



EBITDA declined by 21.6% inclusive of Forex

- Impact of the rapidly depreciating shilling has led to a net forex loss
- Revaluation of trading balances of Ksh. 1.4bn

EBITDA excluding forex declined by 13.8% to Kshs. 16.18bn

- Impact of increased OPEX and SG&A costs

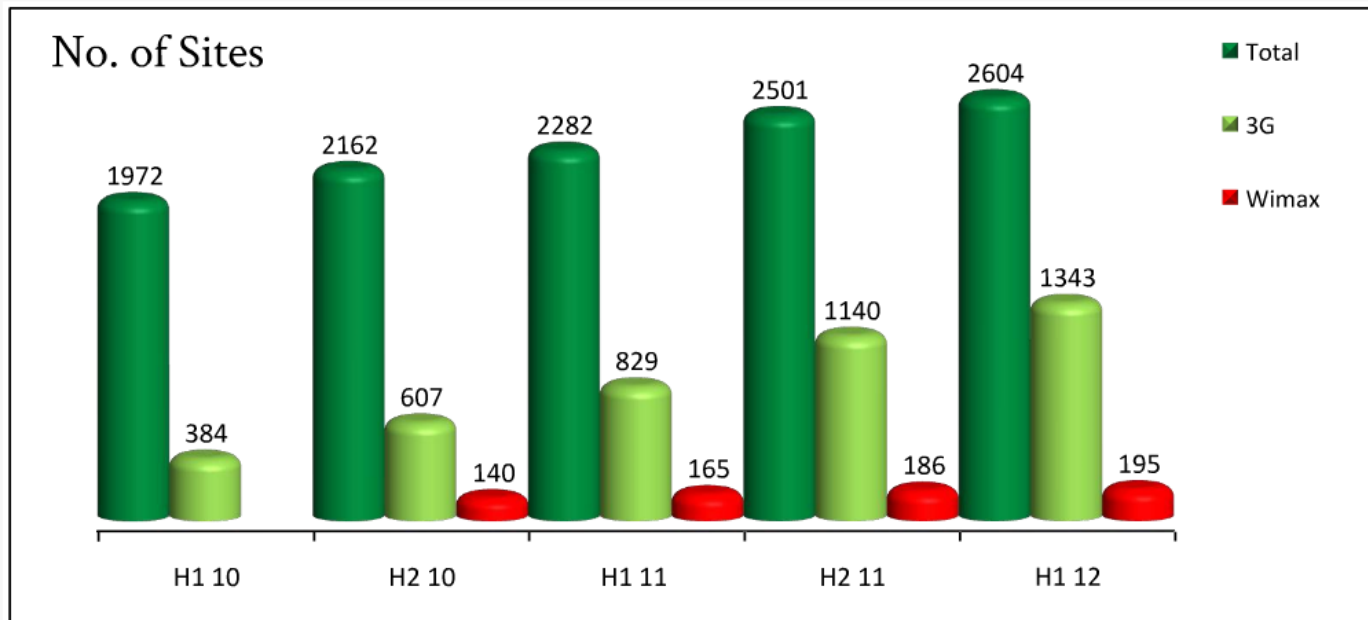
CAPEX

Kshs. 15.5 billion invested in the period

Focus on

- 3G coverage, improving 2G capacity and quality
- Switching capacity & Fibre connectivity

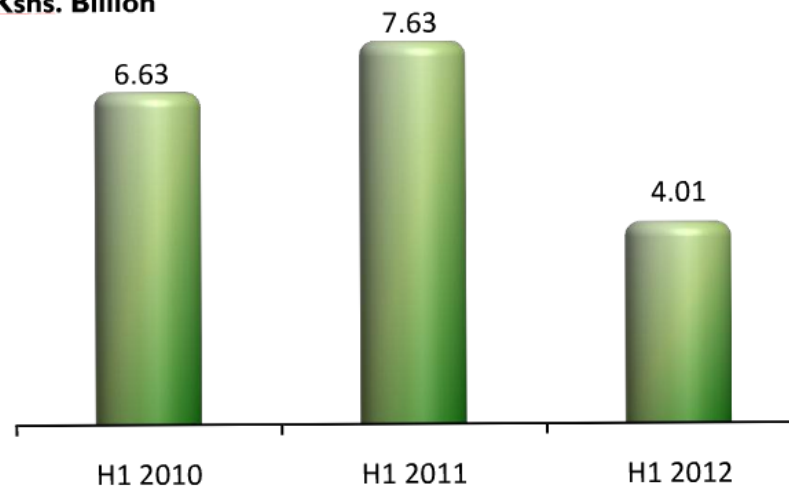
Higher CAPEX intensity in the 1st half



NET INCOME & EPS

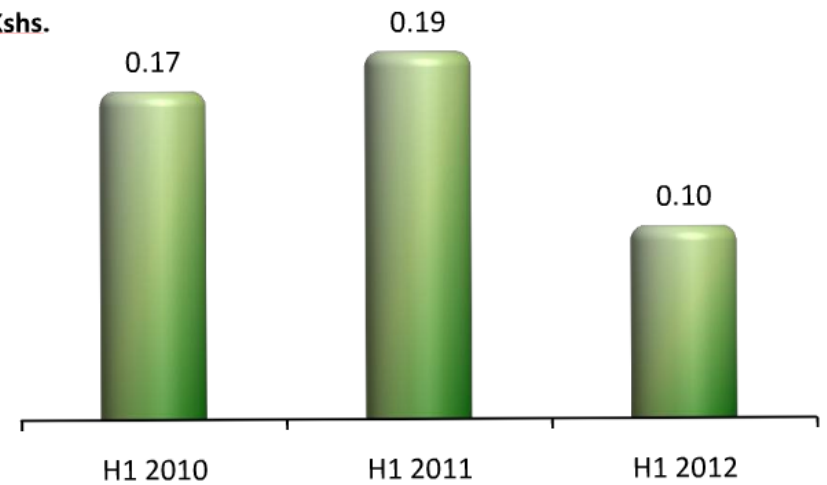
Net income has declined to Kshs. 4.01 bn

Net Income
Kshs. Billion



EPS has declined to Kshs. 0.10

Basic EPS
Kshs.



FUTURE OUTLOOK

Financial and Digital Inclusion

- Nationwide reach of our network
- Cutting edge data solutions
- Become the partner of choice
- Expand M-PESA into micro insurance, micro savings, micro credit and easy payment facilities.

Managing our costs

- Process re-engineering
- Streamlining of transmission and leased line costs
- The introduction of a managed service model for network opex.



Provision of superior service

- Integrated communication solutions to our various customer segments
- Continuous engagement with the customer
- Product innovation